> No plausible reason has been advanced why any rational patentee should want to place so narrow a limitation on his invention. On the contrary, to do so would render his monopoly for practical purposes worthless, since any imitator could avoid it and take all the benefit of the invention by the simple expedient of positioning the back plate a degree or two from the exact vertical.[106]

This principle of purposive construction was streamlined in the form of "*Improver*" questions in a subsequent judgment in the United Kingdom (U.K.)[107] and later approved by the House of Lords.[108] However, the U.K. Supreme Court, in *Actavis UK Ltd* v. *Eli Lilly and Co.*,[109] disagreed with the earlier line of cases. According to the U.K. Supreme Court, this earlier line of case law on purposive construction conflated the issue of claim construction and infringement analysis.

The current standard in the U.K. requires a court to adopt a "normal interpretation" approach. For infringement purposes, according to the U.K. Supreme Court, one must examine whether the infringing device or process infringes the claim as construed by such normal interpretation. If not, the U.K. Supreme Court dictates that a court must thereafter assess whether the claim is infringed by equivalents. It has formulated a test for assessing such equivalents. The U.K. Supreme Court's judgments in *Actavis UK Ltd* and subsequently in *Icescape Ltd* v. *Ice-World International BV*[110] have clarified that the normal interpretation of claims is also purposive. Such interpretations are purposive because courts are to construe claims as per their ordinary language, in their context (description and drawings) and in the light of the factual background (common general knowledge in the art).

There has been no subsequent judgment in India addressing these jurisprudential developments. However, since even the earlier rulings of the Supreme Court of India and the Delhi High Court were guided by the English precedents, it is expected that Indian courts will take a similar approach to claim construction.

6.5.2 Infringement analysis

6.5.2.1 What is "infringement"?

The Patents Act, 1970, does not separately define "infringement," but courts regard any violation of the rights accorded under Section 48 of the Act as an infringement. Like most international jurisdictions, and consistent with Article 28 of the TRIPS Agreement, Section 48 of the Act confers an exclusive right on the patentee to prevent third parties from "making, using, offering for sale, selling or importing for those purposes" the patented product.[111] In the case of process patents, the patentee has the exclusive right to prevent third parties from using the process and from "using, offering for sale, selling or importing for those purposes" the "product obtained directly by the patented process."[112] Committing these acts without the patentee's consent constitutes infringement.

6.5.2.2 Exports as infringement

The Delhi High Court has held that the term "sale," in the context of another provision of the Patents Act, 1970, includes "exports."[113] The Delhi High Court has also recently granted an interim injunction because exports from India would have also amounted to use in India.[114]

6.5.2.3 Proving infringement

A plaintiff must compare the alleged infringing product or process with the granted claim or claims to prove infringement.[115] Claim construction precedes this exercise of comparison.[116]

106 [1982] RPC at 244.
107 *Improver Corp.* v. *Remington Consumer Products Ltd*, [1990] FSR 181.
108 *Kirin-Amgen Inc.* v. *Hoechst Marion Roussel Ltd*, [2005] RPC 9.
109 [2017] UKSC 48.
110 [2019] FSR 5.
111 Patents Act, 1970, §48(a).
112 Patents Act, 1970, §48(b).
113 *Bayer Corp.* v. *Union of India*, 2019 SCC Online 8209 (this judgment was in the context of the *Bolar* provision under Section 107A(a) of the Patents Act, 1970).
114 *H Lundbeck A/S* v. *Hetro Drugs Ltd*, CS (COMM) 565 of 2020, order dated Dec. 23, 2020.
115 *F Hoffmann-La Roche Ltd* v. *Cipla Ltd*, MIPR 2016 (1) 1.
116 For a detailed discussion on how claims are to be construed, see Section 6.5.1 of this chapter.

The Patents Act, 1970, is silent on the doctrine of equivalence and other analogous concepts. The predecessor legislation allowed patentees to sue for infringement even when the infringers counterfeited or imitated the invention.[117] Case law under the predecessor legislation suggested that courts would ignore "trifling or unessential variation."[118] Defendants were guilty of infringement if they made "what is in substance the equivalent of the patented article."[119] Case law under the current Act suggests that a similar approach may be followed.[120]

6.5.3 Defenses to infringement

The rights under Section 48 of the Patents Act, 1970, are expressly subject to other provisions of the Act. Section 107(1) states that all the grounds for revoking a patent for invalidity can be used as defenses to a claim for patent infringement. Defendants can, thus, contest the suit patent's validity even without filing a counterclaim.

Section 107A recognizes the *Bolar* exception for defendants to use the patented product or process for developing information for regulatory filings both in India and abroad. The Delhi High Court's judgment in *Bayer Corp.* v. *Union of India*[121] carries a detailed discussion of the *Bolar* exception.

India follows the rule of international exhaustion regarding patents. Under Section 107A(b) of the Act, importing a duly authorized product from a foreign jurisdiction is not an infringement. Thus, the position is similar to that under the Trade Marks Act, 1999,[122] but different from the domestic exhaustion rule followed under the Indian Copyright Act, 1957.[123]

Section 107(2), read with Section 47, contains well-known exclusions from the scope of a patent's exclusivity, such as the research exemption, educational use and governmental use.

6.5.4 Counterclaim of invalidity

Defendants invariably file a counterclaim seeking revocation under Section 64(1) of the Patents Act, 1970. The grounds provided for revocation under Section 64(1) are exhaustive. There is a view that courts retain the discretion not to revoke a patent despite the fulfillment of one or more of the grounds under Section 64(1),[124] though this does not seem to be the correct position in law. Proving any one of the grounds under Section 64(1) ought to lead to revocation of the patent.

The grounds for revocation usually taken in a counterclaim include lack of novelty or inventive step and non-patentable subject matter. It is also usual for defendants to support the grounds for revocation, especially in respect of lack of novelty and inventive step, by relying upon claims granted in other jurisdictions. If, in any other foreign jurisdiction, claims granted in corresponding patents are narrower than those granted in India, it is common for defendants in India to question the validity of the Indian patent by referring to such claims. Thus, it is advisable for patentee-plaintiffs in infringement actions in India to check whether the scope of claims in other significant jurisdictions differs, at least broadly, from that of the claims in India. If the patentee narrows the claims in other jurisdictions, it is advisable to make similarly narrower claims in India at the prosecution stage.

The citing of corresponding claims from foreign jurisdictions relates to the concept of "file-wrapper estoppel." Although patent rights are strictly territorial, defendants argue that the patentee ought to be bound by statements, concessions and amendments made by the patentee before foreign patent offices concerning the same invention. Usually, such narrowing amendments in foreign jurisdictions, without corresponding Indian amendments, could adversely impact the grant of interim relief.

117 Indian Patents and Designs Act, 1911, §29(1).
118 *Raj Parkash* v. *Mangat Ram Chowdhry*, 1977 SCC Online Del. 33, para. 25.
119 *Parkash,* 1977 SCC Online Del. 33, para. 25.
120 *CTR Manufacturing Industries Ltd* v. *Sergi Transformer Explosion Prevention Technologies Pvt. Ltd*, 2015 SCC Online Bom. 5538; *Novartis AG* v. *Adarsh Pharma*, 2004 SCC Online Mad. 402.
121 WP (C) 1971 of 2014, order dated March 8, 2017, appealed in 2019 SCC Online Del. 8209.
122 *Kapil Wadhwa* v. *Samsung Electronics Co. Ltd*, 2012 SCC Online Del. 5172, appeal filed, *Samsung Electronics Co. Ltd* v. *Kapil Wadhwa*, CA 8600 of 2013.
123 *Warner Bros. Entertainment Inc.* v. *Santosh VG*, CS (OS) 1682 of 2006, order dated April 13, 2009; *Engineering Analysis Centre of Excellence Pvt. Ltd* v. *Commissioner of Income Tax*, 2021 SCC Online SC 159.
124 *F Hoffmann-La Roche Ltd* v. *Cipla Ltd*, MIPR 2016 (1) 1.

Another ground that defendants often rely upon is noncompliance with Section 8 obligations. Section 8(1) of the Act requires mandatory disclosure of the details of all corresponding foreign applications. Section 8(2) requires the filing of the prosecution history of corresponding foreign applications if so directed by the Indian Patent Office.

An issue frequently agitated in Indian courts, in invalidity challenges to pharmaceutical patents, concerns coverage and disclosure. In *Novartis AG* v. *Union of India*,[125] the Supreme Court held that a patentee cannot contend that a patent's coverage is more expansive than its disclosure. The following observation by Justice Jacob in the English case of *European Central Bank* v. *Document Security Systems Inc.* is often cited in the Indian context:

> Professor Mario Franzosi likens a patentee to an Angora cat. When validity is challenged, the patentee says his patent is very small: the cat with its fur smoothed down, cuddly and sleepy. But when the patentee goes on the attack, the fur bristles, the cat is twice the size with teeth bared and eyes ablaze.[126]

Since claims are granted only upon an enabling disclosure, courts must presume that a prior patent discloses the claimed subject matter in an enabling manner. However, there have been various opinions expressed that the patent coverage could be wider than the disclosure, leading to multiple patents thereafter. The Delhi High Court has recently considered this issue in a series of interim orders, wherein the preponderance of the view favored the interpretation in *Novartis*.[127] This view is presently the prevalent one.

6.6 Judicial patent proceedings and case management

6.6.1 Key features in patent proceedings

As in all civil cases, the onus of proving infringement is on the plaintiff suing for infringement.[128] The court may shift the evidentiary burden and call upon the defendants to establish the noninfringement of process claims in specific circumstances consistent with Article 34 of the TRIPS Agreement. Section 104A of the Patents Act, 1970, provides for two situations in which the defendant can be asked to prove noninfringement of a process claim. One condition precedent common to both situations is that the defendant's product must be identical to the product directly obtained by the patented process. Once this condition is fulfilled, the court retains the power to demand that the defendant prove noninfringement if the process is for obtaining a new product[129] or if the plaintiff shows a substantial likelihood that the defendant is using the patented process and is unable to determine the defendant's process despite reasonable efforts.

The court may not require the defendant to disclose its process if such disclosure would result in the disclosure of any trade, manufacturing or commercial secrets that form part of the defendant's process, but only if the disclosure appears reasonable to the court.[130] The use of confidentiality clubs, however, may aid even in such disclosure.[131]

6.6.2 Forum and *locus standi* to initiate infringement actions

A patent enforcement action under Section 104 of the Patents Act, 1970, can be initiated before a district court or higher. The court will try a patent suit as a commercial suit under the Commercial Courts Act, 2015.[132] This also applies to a suit seeking a declaration of noninfringement.[133] However, if a defendant in an infringement action counterclaims the patent's invalidity, the suit and the counterclaim are automatically transferred to the High Court for further adjudication.[134] A declaratory suit for noninfringement cannot question the patent's validity.[135]The registered

125 (2013) 6 SCC 1.
126 [2008] EWCA Civ 192; see also Richard Miller *et al., Terrell on the Law of Patents*, para. 9.14 (18th ed. 2016).
127 *AstraZeneca AB* v. *P Kumar*, 262 (2019) DLT 118; *AstraZeneca AB* v. *Intas Pharmaceuticals*, I.A. 8826/2020 in CS (COMM) 410 of 2020, order dated Nov. 2, 2020. But see *AstraZeneca AB* v. *Zydus Healthcare*, CS (COMM) 414 of 2020, order dated Nov. 18, 2020. The 2020 orders are presently under appeal before a division bench of the Delhi High Court.
128 Indian Evidence Act, 1872, §101.
129 Patents Act, 1970, §104A(1)(a).
130 Patents Act, 1970, §104(2).
131 For discussion on confidentiality clubs, see Section 6.6.5 of this chapter.
132 Commercial Courts Act, 2015, §2(1)(c)(vii).
133 Patents Act, 1970, §105.
134 Patents Act, 1970, §104 proviso.
135 Patents Act, 1970, §105(3).

owner of the patent, or the assignee thereof, is entitled to sue for infringement. Section 109 of the Patents Act, 1970, provides that an exclusive licensee may sue for patent infringement but must implead the patent's registered owner as a defendant. Under Section 110 of the Act, a person who has been granted a compulsory license may also sue for patent infringement if, upon notification of infringement to the patentee, the patentee fails to take action within two months.

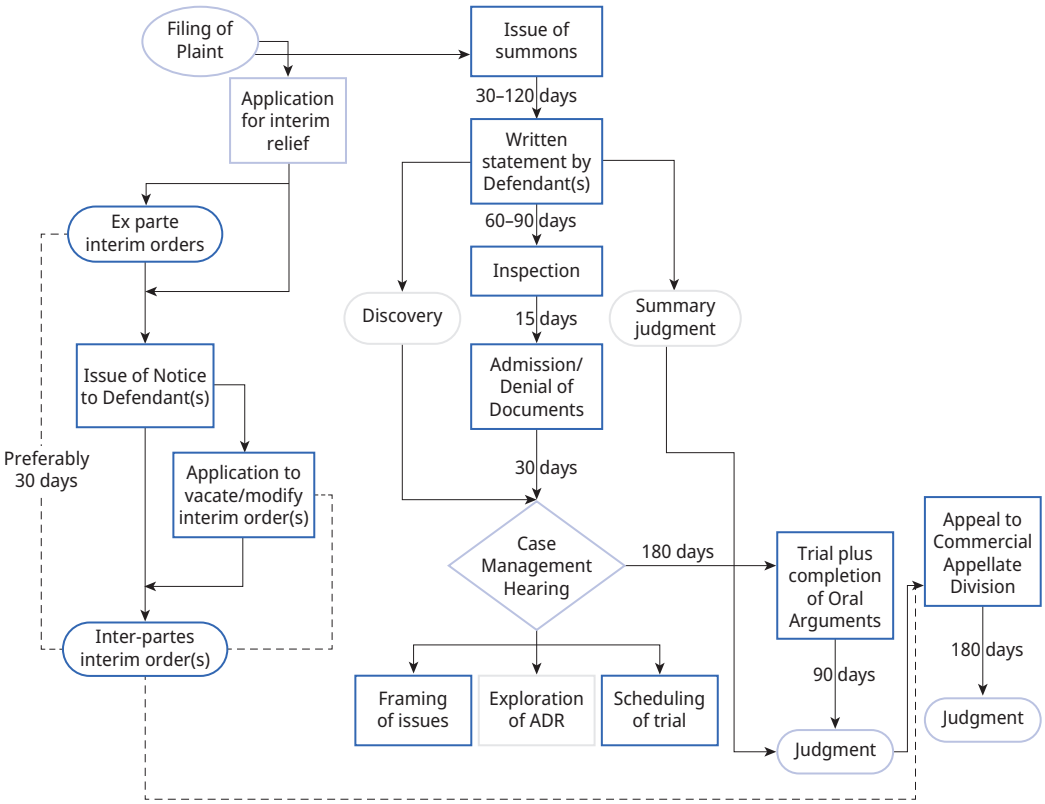
6.6.3 Early case management

Once all pleadings are complete, the suit is listed before a designated commercial court single-judge bench in a case management hearing for framing issues. The court identifies, as precisely as possible, the issues that arise for determination; directs the filing of witness statements; and sets the schedule for trial. The Commercial Courts Act, 2015, prescribes short time limits for completing pleadings. Pending interim applications do not (and should not) delay the case management hearing for framing issues.

6.6.3.1 Pleadings and overall case schedule

The Commercial Courts Act, 2015, fixes mandatory timelines for filing all pleadings. The Supreme Court of India, in *SCG Contracts India Pvt. Ltd* v. *KS Chamankar Infrastructure Pvt. Ltd*,[136] confirmed that the timelines fixed under the Act are mandatory. The Act also prescribes a schedule for the entire case (see Figure 6.4).

Figure 6.4 Overall case schedule according to the Commercial Courts Act, 2015



Note: ADR = alternative dispute resolution.

The rigidity of timelines under the Act has been of some concern in patent litigation, given the technical complexity involved. However, most practitioners and litigants agree that, without fixed timelines, litigation tends to become unnecessarily protracted. The strict scheduling ensures that pleadings are completed on time and that trials are expedited. The real bottleneck is the final arguments post-trial, which has systemic causes: chiefly, the enormous number of unfilled

136 2019 (12) SCC 210.

positions of judges. Recent trends in filling these vacancies, coupled with specialized training in IP-related matters of judges rostered to IP cases, ought to address the bottleneck problem.

6.6.3.2 Case management hearing

Case management is mandatory under the Commercial Courts Act, 2015. The first case management hearing must be mandatorily held not later than four weeks from the date of filing of an affidavit of admission or denial of documents by the parties. It is intended for the court to engage in the early identification of disputed issues of fact and law, the establishment of a procedural calendar for the entire case (including trial and final hearing), and the exploration of the possibility of dispute resolution other than by trial.

6.6.4 Provisional measures

As a common-law jurisdiction, Indian courts are vested with extensive discretionary powers to grant interim relief. The usual determinants apply: whether the plaintiff has a *prima facie* case, where the balance of convenience lies, and to whom irreparable injury is likely if the order is or is not granted. An interim order may subject the plaintiff to conditions, including security. Injunctions can be tailored to suit the remedy.[137]

In general, interim reliefs can be in various forms, including interim injunctions; *Mareva* orders or freezing orders; *Anton Piller* orders, where local commissioners (LCs) are appointed with powers of search and seizure; and directions for keeping accounts. Under Order XXXIX(1)–(2) of the Code of Civil Procedure, 1908 [hereinafter the "Code of Civil Procedure"], patentees may also seek interim and ad interim injunctions. Indian courts have regularly considered the grant of interim injunction orders, *Anton Piller* orders, *Mareva* orders, *Norwich Pharmacal* orders or *John Doe* orders in fitting cases.

It is usual to seek even *ex parte* ad interim relief in suits for patent infringement. In some cases, where the patent has been tested multiple times in litigation, courts usually even grant the ad interim injunction *ex parte*; there is no strict rule. For instance, in the case of SEPs, defendants are usually called upon before the grant of an injunction for a response as to whether they are willing to take a license on fair, reasonable and nondiscriminatory terms.

Irrespective of the outcome of the interim proceedings, the parties (usually the unsuccessful party at the interim stage) usually seek an expeditious trial and final hearing. In fact, in one case where the interim injunction was granted in favor of the patentee (i.e., *Merck Sharp and Dohme Corp.* v. *Glenmark Pharmaceuticals*),[138] the Supreme Court allowed the sale of the existing stock already manufactured by the defendant and directed a day-to-day trial, saying that this was in the national interest, one that demanded a suitable commercial environment for the immediate resolution and adjudication of contentious commercial cases.[139] In that case, due to the intervention of the Supreme Court, the time from the suit's filing to final judgment was only about 30 months. The trial concluded in a record time of less than 30 days. Final arguments were heard for three weeks, and judgment followed very soon thereafter. The Supreme Court has also issued general directions for such expedited hearings in other patent matters.[140]

In cases where a patent has been tried and tested in prior litigation, courts have not hesitated to grant interim injunctions, though the defendant may be permitted to exhaust existing stocks along with accounts. Some perceive the Delhi High Court to be quite liberal in granting interim injunctions to patentees, though there have been some instances in which the court has refused interim injunctions owing to the complexity of the invalidity defense. In other cases, the court has crafted alternative arrangements for the interim period. Where an interim injunction is refused, courts almost always direct the defendant to maintain and file accounts.

6.6.4.1 Governing legal standards and burdens

Courts see growing numbers of patent litigation, with a corresponding increase in the grant of injunctions (both permanent and interlocutory). Temporary injunctions are regulated by Sections

137 Yogesh Pai, "Patent Injunction Heuristics in India," in *Patent Law Injunctions* (Rafal Sikorski ed., 2019), https://ssrn.com/abstract=3305029

138 2015 SCC Online Del. 8227.

139 *Glenmark Pharmaceuticals Ltd* v. *Merck Sharp and Dohme Corp.*, (2015) 6 SCC 807.

140 *Bajaj Auto* v. *TVS Motors*, (2009) 9 SCC 797; *Az Tech (India)* v. *Intex Technologies (India)*, SLP (C) 18892 of 2017, order dated Aug. 16, 2017.

94 and 95 and Order XXXIX of the Civil Procedure Code. The substantive law on temporary and perpetual injunctions can be found in Sections 36–42 of the Specific Relief Act, 1963.

The general principles for grant or denial of such interim orders are well known: a *prima facie* case, the balance of convenience, irreparable injury and public interest factors.[141] Indian courts have derived principles following the decision of the House of Lords in *American Cyanamid* v. *Ethicon Ltd*,[142] though the Supreme Court of India has observed that the relatively diluted standard of "*prima facie* case" in *American Cyanamid* will not apply in India.[143] Similarly, whereas *American Cyanamid* suggests that more weight must be attached to patents granted after a detailed examination procedure, Section 13(4) of the Patents Act, 1970, and some judicial precedents in India suggest that this proposition is inapplicable to Indian patent law.[144]

6.6.4.1.1 Prima facie case

The *prima facie* case requirement is used to discern whether the plaintiff has a reasonable case on merits. It does not finally or conclusively decide issues of fact. It weeds out frivolous or vexatious claims – ones manifestly without merit. As part of this assessment, courts also assess whether defendants have a credible challenge to the suit patent's validity.[145]

Initially, in India, a few judicial pronouncements referred to a six-year rule (i.e., a presumption that there could be an increased probability a patent could be treated as valid on the expiry of six years from the date of grant). The genesis of the six-year rule approach can be traced to the Madras High Court's ruling in *Manicka Thevar* v. *Star Ploro Works* case,[146] which was subsequently picked up in other judgments.[147] However, none of the provisions of law appears to suggest or support this numerical fixation with six years. The *Manicka Thevar* case was subsequently held not to be correct law by another division bench of the Madras High Court.[148] In *F Hoffmann-La Roche Ltd* v. *Cipla Ltd*, a single judge of the Delhi High Court also held that there was no basis for the six-year rule and rejected the application of the said rule in patent cases.[149] Thus, one will not find a discussion of any such six-year rule in most recent patent cases across India.

6.6.4.1.2 Balance of convenience and public interest

The second requirement for the grant or denial of an interim injunction is that the balance of convenience must be in favor of granting an injunction. The court, while granting or refusing to grant an injunction, should exercise sound judicial discretion to compare and determine the amount of mischief or injury likely to be caused to the respective parties if the injunction is refused and if it is granted. The court would weigh competing possibilities or probabilities.

In India, public interest has been recognized both as a separate factor and as a factor read into the test for the balance of convenience.[150] For instance, the public interest in enabling access to lifesaving drugs (both supply and pricing considerations) has been considered a relevant factor when deciding on an application for an interim injunction.[151] Recently, given the influence of comorbidity factors such as diabetes and obesity in the severity of COVID-19 infections, the pricing of antidiabetic medications was considered one of the relevant factors when assessing interim injunction applications.[152]

The defense of public interest is not a complete exception to a legally valid patent and must not be too broadly interpreted, as it would undermine "the rights granted by the sovereign towards monopoly."[153] The Delhi High Court has recognized that upholding the enforcement of patents is

141 *F Hoffman-La Roche Ltd* v. *Cipla Ltd*, 2009 (110) DRJ 452 (DB); *Merck Sharp and Dohme Corp.* v. *Glenmark Pharmaceuticals*, 2015 SCC Online Del. 8227.
142 [1975] AC 396.
143 *SM Dyechem Ltd* v. *Cadbury (India) Ltd*, (2000) 5 SCC 573.
144 *F Hoffman-La Roche,* (110) DRJ, paras 53–55 (DB).
145 *F Hoffman-La Roche*, (110) DRJ, paras 53–55 (DB).
146 AIR 1965 Mad. 327.
147 *National Research and Development Corp.'s, Bilcare* v. *Amartara Pvt. Ltd.*, 2007 (34) PTC 419 (Del).
148 *Mariappan* v. *AR Safiuallah*, 2008 (5) CTC 97.
149 2008 (37) PTC 71 (Del.) (SJ), *aff'd*, 159 (2009) DLT 243 (DB) (though there is no express discussion on the six-year rule).
150 *F Hoffmann-La Roche*, 159 DLT (DB).
151 *F Hoffmann-La Roche*, 159 DLT (DB).
152 *AstraZeneca AB* v. *Intas Pharmaceuticals Ltd*, MANU/DE/1939/2020.
153 *Novartis AG* v. *Cipla Ltd*, 2015 SCC Online Del. 6430, para 88.